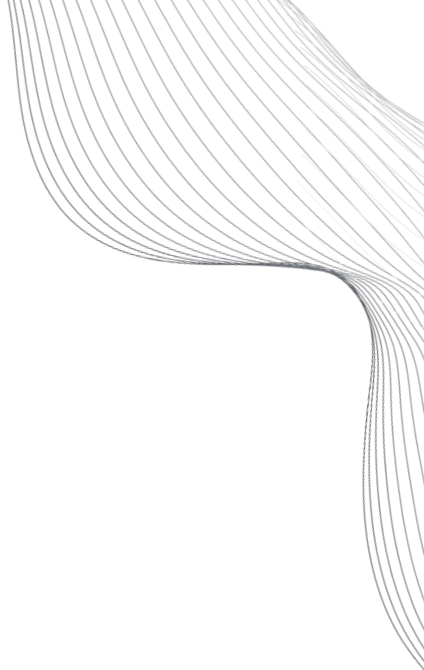




Journaling

Please bear in mind for every transaction you should have documents to support it.



ACCOUNTING

Requirements of accounting documents

Documents that prove accounting transactions (i.e. invoices, vouchers, payrolls, reimbursement forms, receipts). They need to include:

- The identification number of the vendor.
- The amount to be paid.
- The date on which payment should be made.
- The accounts to be charged to record the liability.

Archive all accounting documents physically or virtually!

Have these accounting documents according to national law, but no less than 5 years:

1. Invoices created and received
2. Reimbursement forms and all receipts
3. Bank statements.
4. Cashbook.
5. List of transaction from the year.
6. Balance Sheet & Profit and loss Statement



What to do concretely?

- Bank reconciliation
- Credit Card purchases reconciliation (if applicable)
- Petty cash balance
- Revenue recognition and Accounts Receivable updates



Credit and Debit

Under the **double-entry** system every business transaction is recorded in at least two accounts. One account will receive a "debit" entry, meaning the amount will be entered on the *left* side of that account. Another account will receive a "credit" entry, meaning the amount will be entered on the *right* side of that account. The initial challenge with double-entry is to know which account should be debited and which account should be credited.

Debit

Increased with a debit:

- Dividends (Draws)
- Expenses
- Assets
- Losses

Credit

Increased with a credit:

- Gains
- Income
- Revenues
- Liabilities
- Stockholders' (Owner's) Equity



ISSUING AN INVOICE

When we issue an invoice on one date, we usually don't receive the payment the same day that when we issued the invoice. So we use the account “**accounts receivable**” instead of “bank” at the debit.

J/E Number: 1095 *Partner Sale Invoice*

DATE	ACCOUNT	DEBIT	CREDIT
13/05/202X	Accounts receivable	\$1210	
	Income account		\$1000
	VAT (if it is necessary)		\$210

J/E Number: 1102 *Partner Sale payment collection*

19/05/202X	Bank	\$1210	
	Accounts receivable		\$1210

Once we receive the payment, we can charge the money at the “bank” account on debit and “accounts receivable” on credit.





PAYING AN INVOICE

Also, sometimes we don't pay an invoice the same day that we receive. In this case we use the account "accounts payable" in credit.

J/E Number: 965		<i>WIFI Service Expense</i>	
DATE	ACCOUNT	DEBIT	CREDIT
12/05/202X	Expense account	\$920	
	VAT (if it is necessary)	\$80	
	Accounts payable		\$1000

J/E Number: 1109		<i>WIFI service Expense Payment</i>	
30/05/202X	Accounts payable	\$1000	
	Bank/Cash		\$1000

Once we make the payment, we put "accounts payable" in debit and "bank" in credit.

**For the rest of examples, we are going to consider that the money enters the same day as we issue the invoice.*



OUTGOING PROGRAMS



Outgoing accounting is simple. You just need to put the bank's account in debit, and in credit you will put the account for the program: OGV/OGTe/OGTa.

The number of the account will depend of each accounting plan of each country in case you have to use a different from the Global Chart of Accounts..

Check the legality part to know if it is necessary to pay the VAT for outgoing activities.



ACCOUNTING

OGV/OGTe/OGTa

J/E Number: 965

DATE	ACCOUNT	DEBIT	CREDIT
12/05/202X	Bank	\$250	
	Outgoing Program account		\$230
	VAT (if it is necessary)		\$20



Remember: only **ONE PAYMENT!**

PARTNERS REVENUES



Outgoing accounting is simple. You just need to put the bank's account in debit, and in credit you will put the account for what you sold to the partner: EwA, project Management.

The number of the account will depend of each accounting plan of each country in case you have to use a different from the Global Chart of Accounts.

Check the legality part to know if it is necessary to pay the VAT for Partners sales.



ACCOUNTING

EwA, Project Management

J/E Number: 965

DATE	ACCOUNT	DEBIT	CREDIT
12/05/202X	Bank	\$250	
	Partner sale account		\$230
	VAT (if it is necessary)		\$20



**This depends on the sales model
you have for Partners.**

INCOMING PROGRAMS



IGV/IGTe/IGTa

J/E Number: 965

DATE	ACCOUNT	DEBIT	CREDIT
12/05/202X	Bank	\$250	
	Incoming Program account		\$230
	VAT (if it is necessary)		\$20

With the accounting program you use, as soon you create the invoice, the program calculates the VAT, books the income, sends the invoice and also automatic payments reminders.

You always need to book the invoice always as accrual, no matter if you expect the payment in the same financial period or in the next.



YOUTH REVENUES



EwA/ Project Management

J/E Number: 965

DATE	ACCOUNT	DEBIT	CREDIT
12/05/202X	Bank	\$250	
	Youth sale account		\$230
	VAT (if it is necessary)		\$20

With the accounting program you use, as soon you create the invoice, the program calculates the VAT, books the income, sends the invoice and also automatic payments reminders.

You always need to book the invoice always as accrual, no matter if you expect the payment in the same financial period or in the next.



REIMBURSEMENTS

Imagine that a member has spent money from their own pocket and needs to be reimbursed.

Set some rules!

1. Set DDL for receiving them!
2. Reimburse only forms with receipts!
3. We recommend to scan your reimbursements, because the receipts tend to get unreadable by time.
4. Don't put your own money into petty cash!



You have 2 possible ways to handle it:

One-step: you reimburse and book the expense.

Debit	Credit
Expense	Bank

Two-step: you book the expense against an employee current account and settle this medium account when you pay out the money. Advantage is that you can **book several receipts** on the account and **reimburse everything** at once

Debit	Credit
Expense 1	LC/MC Member
Expense 2	

Debit	Credit
LC/MC Member	Bank

BANK INTEREST / FEES

Sometimes you will need to pay service expenses to the bank. You only need to put this expenses on the 'debit' side, and the bank account at the "credit" side.

Consider if you are paying too much bank expenses to change your bank, or choose one for the whole entity, remember that this kind expenses usually occur when you transfer money to other banks. Using the same bank (do not confuse, same bank, different bank accounts) can provide a better alignment between MC and LCs.

J/E Number: 254		Bank fees	
DATE	ACCOUNT	DEBIT	CREDIT
30/05/202X	Service Expense	\$92	
	VAT (if it is necessary)	\$8	
	Bank		\$100

***Take your time to consider if your bank is the best for your entity/LC.**



CASH



ACCOUNTING

Cash movements need to be documented in your bookkeeping, but first you need to open a cash box: this is a transfer booking.

Debit	Credit
Cashbox	Bank

Remember to keep all invoices that you pay with this money, so you can keep track of all transactions during the cashbox is open with official documents.

GFB have some guides in case you need one.

We honestly recommend to stop using cash-book, as it needs a lot of control and tracking to avoid misunderstandings. Better to trust on Accounting Software

LC FEE

This is how the MC should bookkeeping the LC Fee, to each LC.

Debit	Credit
Bank	LC 1
	LC 2
	LC 3

This is how the LCs can bookkeeping the LC Fee.

Debit	Credit
LC Fee	Bank

*The LC Fee is calculated with the distribution model.
Here you can check an old guide (but incredible) of
how to make your financial and distribution model.*



ACCOUNTING

What happens when a LC is not able to pay the LC Fee, or it can just pay some part of the LC Fee? Don't be alarmed, economy is full of cycles, including good ones and bad ones. But always remember to take actions as soon as possible, because a huge amount of debt of only one LC can harm the whole entity.

Debit	Credit
Bank	LC 1
Debt LC 1	

When the LC pays the debt.

Debit	Credit
Bank	Debt LC 1

All LCs with debt must create a payment plan.